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Global Macro Strategy - Views and Trade Ideas

Flagship

The Messi Theory of Interest Rates

CITI'S TAKE

If Mervyn King gave us the 'Maradona Theory of Interest Rates' to describe active forward guidance, Kevin Warsh is giving us the 'Messi Theory of Interest Rates' for no guidance. Messi has spent much of his career walking, watching the game evolve around him, and only moving when necessary. Warsh adopting this game plan could allow markets, rather than the Fed, to tighten financial conditions. But it risks curve steepening, absent hawkish guidance closer to Jackson Hole. We study cross-market implications of twist steepening. Elsewhere we discuss EMFX carry (doubling our risk despite JPY intervention), the SPX vs SOX debate (we stay bullish US equities), all things Japan macro (still paid 1y OIS), tariffs news (add CAD funding to our EMFX carry basket) and the BoE.

Adam Pickett [AC]
+44-20-7500-5777
adam.pickett@citi.com

Dirk Willer [AC]
+1-212-723-1016
dirk.willer@citi.com

Alex Saunders [AC]
+1-212-723-1058
alexander.saunders@citi.com

Giammarco Miani [AC]
+44-20-7986-6316
giammarco.miani@citi.com

Alice Zheng [AC]
+1-212-816-0382
alice.zheng@citi.com

Michael Alexeev
+1-212-816-1167
michael.alexeev@citi.com

Vinh Vo [AC]
+44-20-75-086-717
vinh.vo@citi.com

Citi Global Macro Strategy
+44-20-3569-4243
globalmacrostrategy@citi.com

The Messi Theory of Interest Rates — Quietly waiting, observing and only acting when necessary seems more Messi than Maradona. Market pricing of hawkish credibility through the FOMC meeting suggests more guidance around Jackson Hole is needed. In the meantime, trimming hawkish tails is good for carry, short USD and twist steepening in the UST curve. We explore these themes below.

USTs twist steepening: rare, but USD bearish, positive for cyclicals — We look at cross-asset performance across different USTs steepening regimes. Twist steepening, which can also be interpreted as rising term premium, coincides with USD lower. EMFX does well, together with EUR and high beta G10. Cross-asset, cyclicals do well: copper and equities, as well as gold.

Carry's 'safe-haven' outperformance continues despite intervention risks — Both EMFX and G10 carry have extended their gains, supported by contained cross-asset volatility and a unique CTOT flavour. While we think a sharp USDJPY sell-off could generate spillovers, the resilience of EMFX carry's long side and our diversified funding that avoids Asian currencies such as JPY, leave us constructive in the trade. We double our risk in the trade, and swap USD + EUR funding for CAD + CHF.

All things Japan: BoJ, intervention and politics — The BoJ, sounded relatively hawkish, stressing upside risks to inflation, but only Takata called for a hike. As we expected, the market has moved to price a faster pace of hikes, but Tamura declining to dissent give us confidence on October vs September. We remain paid JPY 1y OIS given positive momentum and keep our NKY up USDJPY down dual digi expiring in September. On intervention, we study the effect on EM carry, and are not concerned with our basket. We also are not concerned about the small drop in approval ratings for Takaichi's cabinet – they remain historically very high. The main feedback loop to watch is if weaker ratings going forward prompt fiscal or finstab policy changes.

Tariff latest: goodbye 122, hello 301 and USMCA review — We discuss the latest proposed changes to tariffs across the board and conclude that EU and Taiwan are relative winners, with EM Asia, Brazil and Canada worse off. As such, we add CAD to our EM carry funding mix, replacing USD.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

The Messi Theory of Interest Rates

Changes to GMS Portfolio:

Trade Alteration: Double size and change the funders. Long vol weighted carry basket: Long BRL, MXN, COP, TRY, now funded 50% in CHF and 50% in CAD, using 3m forwards. Previously funded 50% in EUR and 50% in USD, entered on 14-July-2026 in $25m. Adding $25m in notional, risking in total $1m or 1% of GMS PF. Spot refs on 3m fwds via USD, CAD 3.698, 12.510, 2268.746, 36.764, CHF: 6.452, 21.827, 3958.317, 64.150, respectively, as of 10:35am BST, 31-July-2026. Vol weighted long size: 12.3%, 15.4%, 12.2%, 10.1%, respectively. Risks: pick-up in cross-asset vol.

The Messi Theory of Interest Rates. Mervyn King's famous Practice Ahead of Theory (2005) speech described using forward guidance to move rate expectations, allowing monetary policy to be impactful even if policy rates are stable. The Maradona Theory of Interest rates used the analogy of energetic Argentine football maestro Diego Maradona feinting to go left and right, deceiving defenders. Despite ultimately moving in straight line, he still ends up in front of goal and scoring. Warsh's preference seems to be to make no moves and give no guidance, combining uncertainty with an apparent readiness to act, allowing markets to do the work for him. Rather than Maradona, this sounds more like Argentine compatriot Lionel Messi. Messi famously does little until he needs to: in 2017 he walked for 83% of an El Clasico match against fierce rivals Real Madrid, but still registered a goal and an assist in a 3-0 victory. Time will tell if this is effective, or if readiness becomes action. What evidence do we have of Warsh's desire to wait and see?

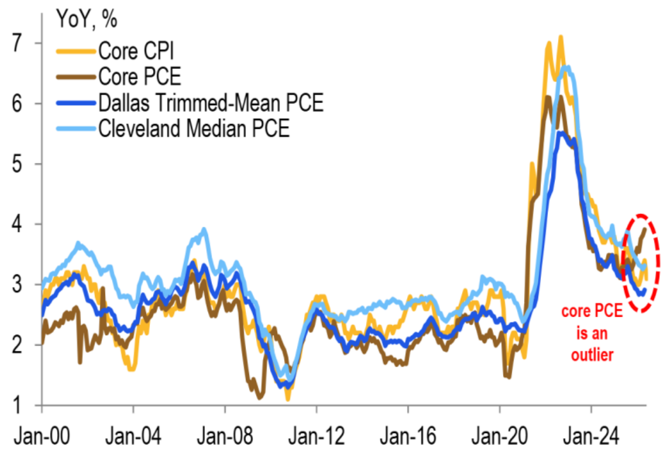
1. **De-emphasizing PCE:** *"I'm looking at a broader set of inflation data than PCE".* PCE is the hawkish inflation print, many others are not (Figure 1).

2. **De-emphasizing using policy rates:** *"If inflation continues to be elevated through the forecast period, interest rates could well be part of that solution. But I wouldn't say it's in isolation."* This suggests more reliance on market-driven FCI moves, which vary significantly across indicators…

3. **Emphasizing yields over FCIs:** *"Some of the increases in market interest rates between FOMC meetings are among the most significant in the last two decades… and the reduction in forward guidance may have been a factor… they have tightened financial conditions in this intermeeting period"*. Warsh's FCI lens seems almost entirely yield driven, which seems too narrow compared to broader Chicago Fed FCI measures that indicate that financial conditions are historically loose, not tight. The 'yields only' lens may give a false sense of security around credibility.

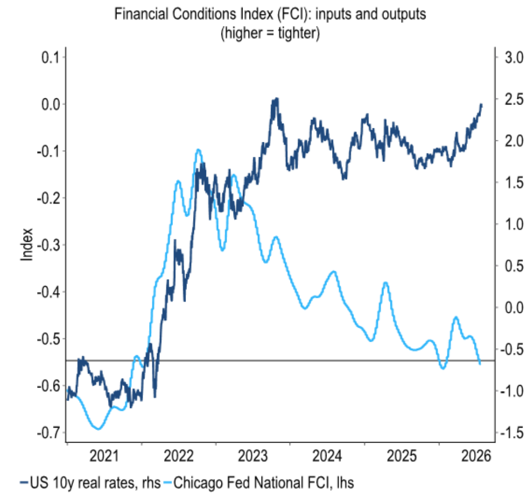
4. **Commitment to reverse FAIT seems unclear:** *"How much do you think not going in July was down to the cool CPI print for June? // So, in two words, not much… What I care about, and what I think the Committee cares about, is trends on the data… something like 63 months of inflation above target"*. The focus on 63 months of inflation above target seems like reverse FAIT; instead of tolerating inflation overshoots to make up for persistent undershoots, he seems to imply persistent overshoots are reasons to keep a hawkish stance even if inflation is falling. However, this is somewhat contradicted by justifying no action in July, despite another month of above target inflation, and further suggesting that the soft July print didn't matter much to the decision.

Figure 1. De-emphasizing PCE is dovish ([US Rates Strategy – FOMC takeaways](#))



Source: Citi Research

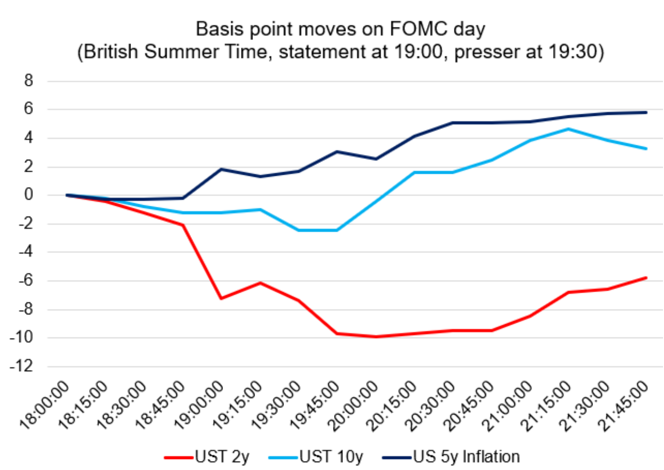
Figure 2. 10y US real rates suggest FCIs have tightened, broader FCI measures from Chicago Fed strongly disagree



Source: Citi Research, Macrobond, Bloomberg

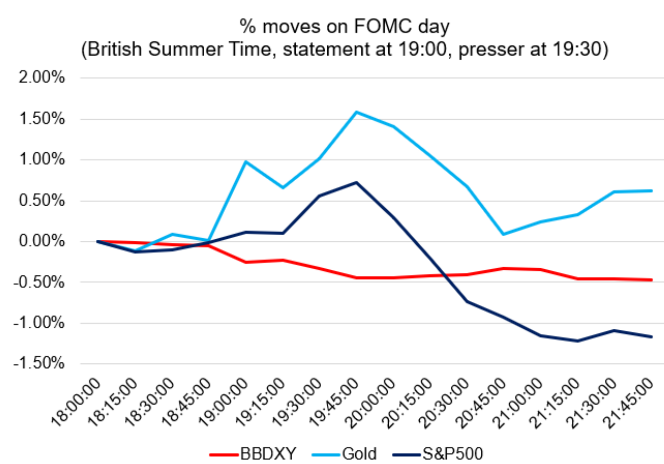
Messi Theory… Messy outcomes? Most measures of Fed hawkish credibility deteriorated after the meeting. In rates, we saw 2y lower and 10y higher in nominal yields, with 5y inflation swaps higher too. Cross-asset, we saw the USD down, gold up and equities up. Collectively, this felt like a market questioning hawkish credibility. If this continues, we think Warsh can easily correct by providing more guidance than we currently get, which may well come into or at Jackson Hole (Figure 6). The clearest outcome in rates is curve steepeners. [Citi Rates Strategy continue to hold 5s30s steepeners](#) and we discuss cross-market implications of twist steepening below.

Figure 3. Rates market moves didn't imply much hawkish credibility



Source: Citi Research, Bloomberg

Figure 4. Neither did USD, gold or equities



Source: Citi Research, Bloomberg

Figure 5. Upcoming key events for the Fed

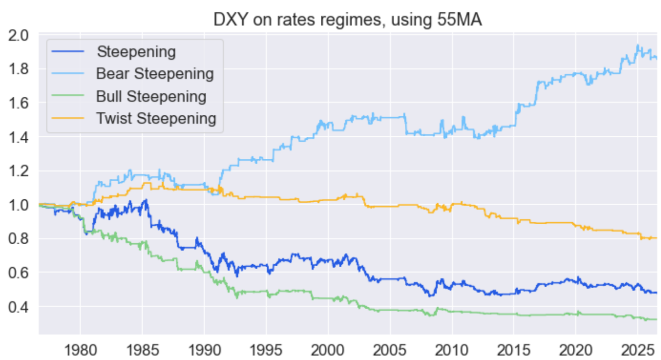
Date	Time (ET)	Event
Fri Aug 7	8:30	July Jobs Report
Tue Aug 12	8:30	July CPI
Wed Aug 19	14:00	FOMC Meeting Minutes (Jul 29 meeting)
Fri Aug 29	10:00	Jackson Hole Economic Symposium – Fed Chair Warsh keynote expected
Wed Aug 26	8:30	July PCE
Fri Aug 28	10:00	Preliminary Benchmark Payrolls Revision
Fri Sep 4	8:30	August Jobs Report
Fri Sep 11	8:30	August CPI
Tue Sep 16	14:00	FOMC Rate Decision, September SEP
Wed Sep 30	8:30	August PCE, Annual PCE Revisions

Source: Citi Research

Trading rates regimes

Twist steepening regimes, while rare, are bearish USD. Figure 6 show DXY performance across different US rates regimes. The regimes are calculated using 2y and 10y relative to their respective 55dma. For example, the bear steepening regime is defined as both 2y and 10y USTs above their respective 55dma. The DXY performance is concurrent to the regimes, not lagged. Twist steepening appears to be a bearish USD regime. We think that is also in line with the negative relationship between UST term premium and USD FX. We have found that rising UST term premium has been a negative catalyst for the USD, especially since the big Biden fiscal post-Covid, as shown in Figure 7. Term premium here is calculated as the residual of 5s30s regressed on 5s, with a 5y rolling window.

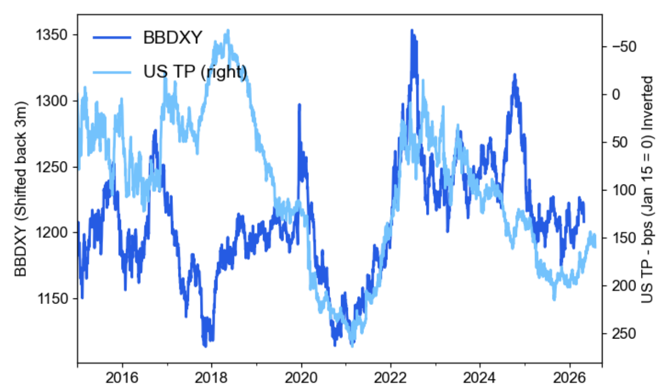
Figure 6. Twist steepening is a bearish USD regime



	Steepening	Bear Steepening	Bull Steepening	Twist Steepening
Return	-1.33%	1.29%	-2.19%	-0.42%
Volatility	5.72%	3.26%	4.16%	2.19%
Risk/Reward	-0.23	0.39	-0.53	-0.19
max DD	-55.81%	-12.73%	-68.47%	-29.91%
Active IR	-0.34	0.95	-1.14	-0.75
% on	45.53%	17.30%	21.59%	6.64%

Source: Citi Research

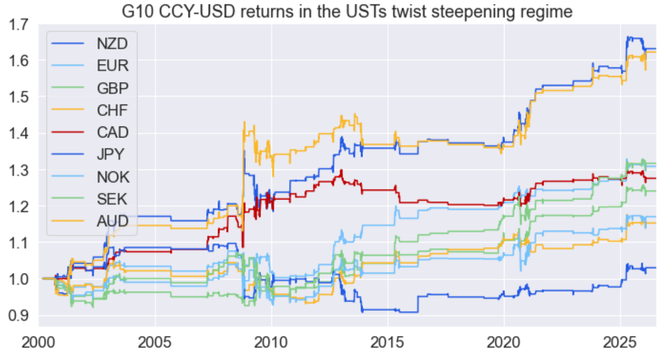
Figure 7. Since the Biden era big fiscal, rising term premium has been a negative catalyst for the USD



Source: Citi Research

In the twist steepening regime EUR FX and cyclical assets do well. We check G10 FX performance across the twist steepening USTs regime, as defined above. CCY-USD performance is shown in Figure 8, again concurrent. As it can be expected, high beta perform well, together with EUR. CHF and JPY less so. In Figure 9 we show cross-asset performance. Cyclical assets like copper tend to perform particularly well, together with equities. Gold too, as expected. EMFX carry returns are positive, but less so than maybe expected. In the last two columns we split the performance between EMFX longs and shorts. The funders become a drag on the basket. As US front-end rallies, EMFX funders, likely EM FX Asia tend to rally strongly as well. For this type of regime EMFX works well when USD and / or EUR funded, rather than the traditional long LatAm short Asia.

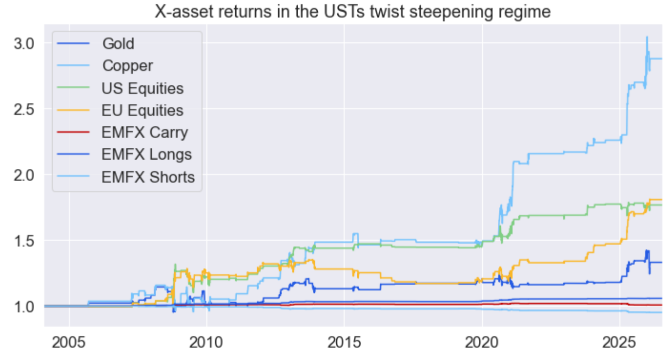
Figure 8. Across G10, twist steepening regime particularly supportive of high beta and EUR...



	NZD	EUR	GBP	CHF	CAD	JPY	NOK	SEK	AUD
Return	1.93%	1.05%	0.85%	0.57%	0.96%	0.16%	0.66%	1.10%	1.93%
Volatility	3.82%	2.62%	2.60%	2.73%	2.73%	3.01%	3.50%	3.52%	4.45%
Risk/Reward	0.50	0.40	0.33	0.21	0.35	0.05	0.19	0.31	0.43
max DD	-12.39%	-8.06%	-7.52%	-11.57%	-7.72%	-17.28%	-11.05%	-11.59%	-10.52%
Active IR	1.78	1.41	1.15	0.74	1.24	0.18	0.68	1.10	1.53
% on	8.05%	8.05%	8.05%	7.95%	8.02%	8.08%	7.61%	8.12%	8.06%

Source: Citi Research

Figure 9. ...cross-asset, cyclical assets perform particularly well



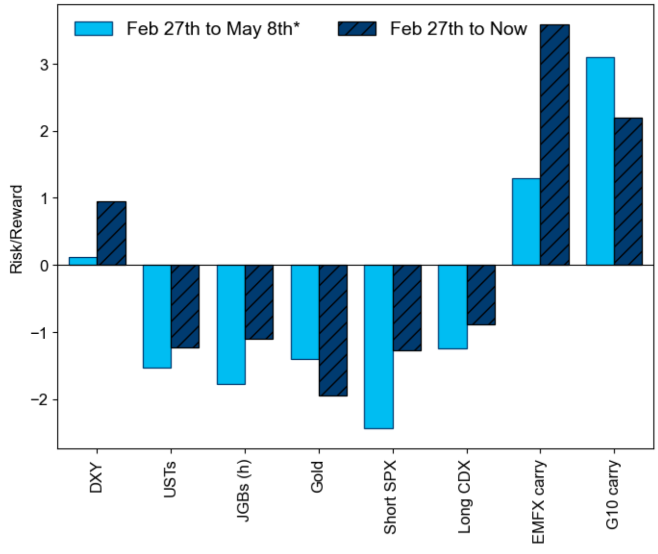
	Gold	Copper	US Equities	EU Equities	EMFX Carry	EMFX Longs	EMFX Shorts
Return	1.44%	5.10%	2.73%	2.86%	0.04%	0.26%	-0.22%
Volatility	5.73%	8.88%	6.36%	6.63%	0.32%	0.42%	0.39%
Risk/Reward	0.25	0.57	0.43	0.43	0.12	0.61	-0.56
max DD	-16.76%	-18.12%	-16.33%	-13.69%	-1.44%	-0.76%	-4.92%
Active IR	0.91	2.12	1.58	1.57	0.44	2.19	-2.02
% on	7.74%	7.46%	7.50%	7.60%	7.79%	7.79%	7.79%

Source: Citi Research

Keep calm and carry on? Stay long EURUSD, swap EUR + USD for CHF and CAD as funders for EM Carry

Carry's 'safe-haven' outperformance continues. Previously in Jevons jobs market? And what to buy if the Strait reopens, we flagged that FX carry had behaved like a safe-haven through the US-Iran conflict, despite its historically negative relationship with volatility. We argued that the outperformance was two-fold: first, cross-asset volatility has calmed materially since the initial spike; and second, carry had taken on a CTOT flavor, as currencies with the most restrictive policy stances often coincided with commodity exporters, especially in G10. We subsequently entered a custom FX carry basket in Global Macro Strategy - Adding EM carry, closing rates RV trades post US CPI (long BRL, COP, MXN, TRY vs EUR, USD). Since then, we show in Figure 10 that our broad measures of both EMFX and G10 carry have posted strong performance with EMFX carry further extending gains while traditional safe havens ex-USD have struggled. While crowding is currently still extended, we think carry has reason continue to perform well so long as cross-asset volatility remains contained and the CTOT relationship holds (Figure 11). To isolate a purer proxy of carry and limit directional USD exposure, we construct both baskets to be dollar neutral.

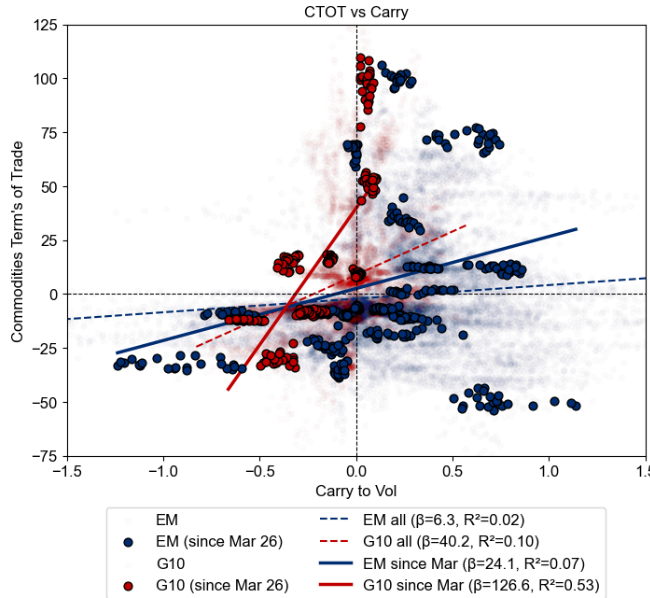
Figure 10. Both EMFX and G10 carry have continued to post strong performance over traditional 'safe havens'.



*May 8th is the publication date of *Jevons jobs market? And what to buy if the Strait reopens*

Source: Citi Research

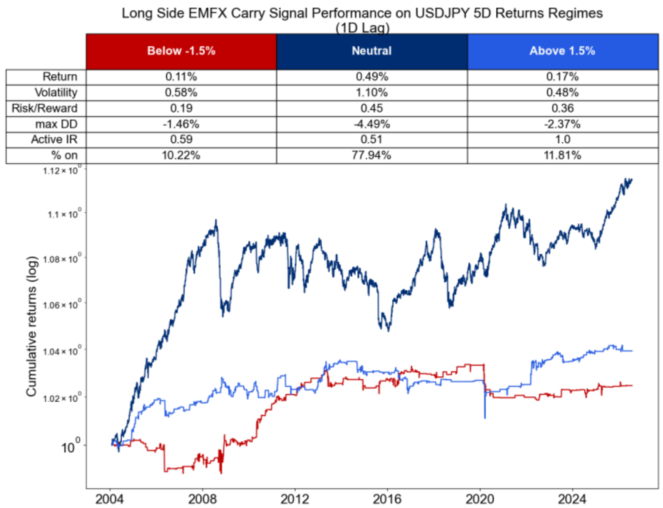
Figure 11. Leading up to the conflict, currencies with highest carry coincided with commodity exporters.



Source: Citi Research

Is JPY intervention a risk for EM carry? Not if you avoid Asia funders. Another common debate we have with investors is how carry would perform in the event of a sharp USDJPY sell-off, potentially triggered by intervention. While we have previously noted in Global Macro Strategy - Growing pAIns that such a move could generate spillover weakness in EMFX carry, Figure 12 and Figure 13 suggest that the long side of EMFX carry has remained resilient following sharp USDJPY sell-offs. We remain cautious that some spillover could be possible, but we stay constructive on carry given its unique CTOT flavour this time around. We have been long carry through our custom basket that also provides some diversification on the funding side, with equally weighted short positions in USD and EUR instead of Asia low yielders that might be dragged stronger by a JPY rally. On the long side, we screen for currencies that performed well in early 2026 despite (or thanks to) rising oil.

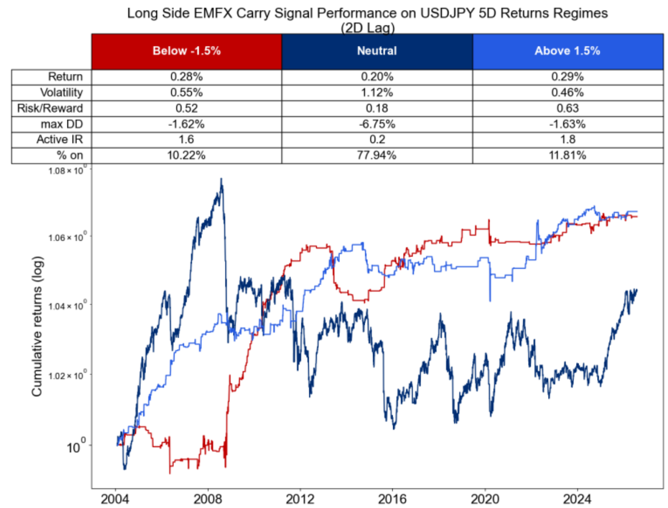
Figure 12. Long leg of EM carry resilient to sharp JPY rallies



	Below -1.5%	Neutral	Above 1.5%
Return	0.11%	0.49%	0.17%
Volatility	0.58%	1.10%	0.48%
Risk/Reward	0.19	0.45	0.36
max DD	-1.46%	-4.49%	-2.37%
Active IR	0.59	0.51	1.0
% on	10.22%	77.94%	11.81%

Source: Citi Research

Figure 13. Especially robust with a 2d lag

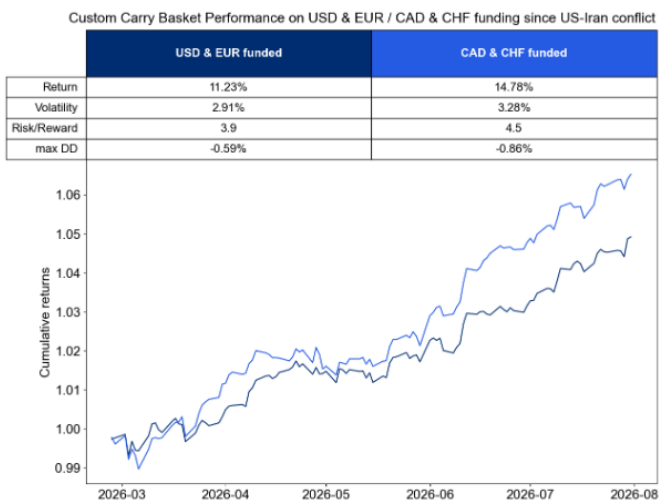


	Below -1.5%	Neutral	Above 1.5%
Return	0.28%	0.20%	0.29%
Volatility	0.55%	1.12%	0.46%
Risk/Reward	0.52	0.18	0.63
max DD	-1.62%	-6.75%	-1.63%
Active IR	1.6	0.2	1.8
% on	10.22%	77.94%	11.81%

Source: Citi Research

Stay long EURUSD, swap USD + EUR for CAD + CHF as EM carry funders. Alongside this, we remain tactically long EURUSD, which we entered ahead of this week's FOMC. Given such EUR view, we swap for CHF given dovish central bank guidance and lower yields. Despite being tactically bearish USD, we prefer short CAD which is cheaper than shorting USD given the interest rate differentials, worse macro dynamics (softer inflation and USMCA overhang), and will perform in the oil sell-off once an Iran deal comes to fruition. Given our earlier discussions, we also double the risk of our EM FX carry basket. Changing this funding mix would have made no difference during heightened Iran or equity risk YTD (Figure 14) and pitting these funders against each other (Figure 15) shows no clear trend during JPY intervention periods, suggesting CHF doesn't get dragged much stronger by JPY.

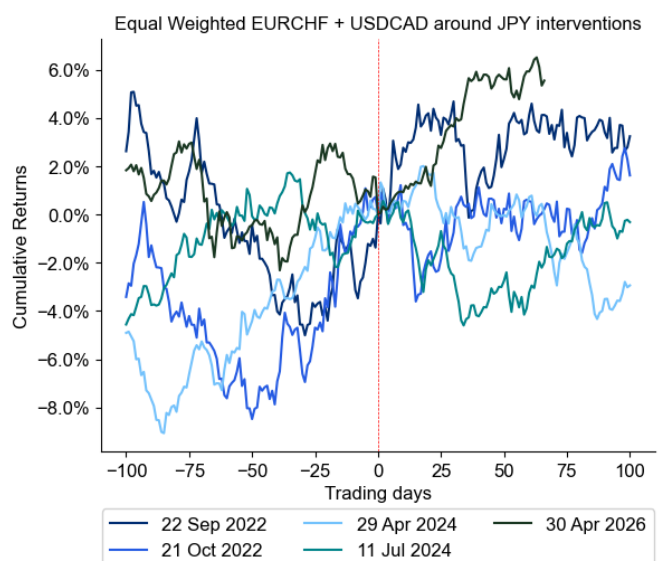
Figure 14. Our EMFX carry basket funded with CAD & CHF didn't suffer with Iran or equity risk since Q2



	USD & EUR funded	CAD & CHF funded
Return	11.23%	14.78%
Volatility	2.91%	3.28%
Risk/Reward	3.9	4.5
max DD	-0.59%	-0.86%

Source: Citi Research

Figure 15. No trend: funding mix options vs JPY intervention



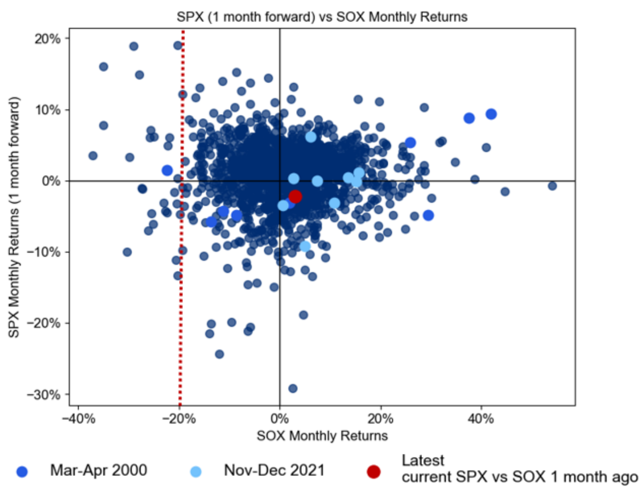
Source: Citi Research

SPX bears, pull your SOX up

We have stayed bullish US equities despite the semis pain. Firstly, our two preferred equity timing indicators, CGTSPOLLS Index (tactical, more here) and The Generals (for US bubbles bursting, more here). As of yesterday (30 July) close, POLLS is at 14, well below the 18 danger level, and 6/7 of the top 7 marketcap names in the S&P500 are above their 200dMA. We have kept out longstanding year end NDX digi call from our 2026 Outlook and our US OW in this month's Global Asset Allocation. But we still get a lot of questions about the semi cycle and how badly this could affect broader US equites. We study this more below.

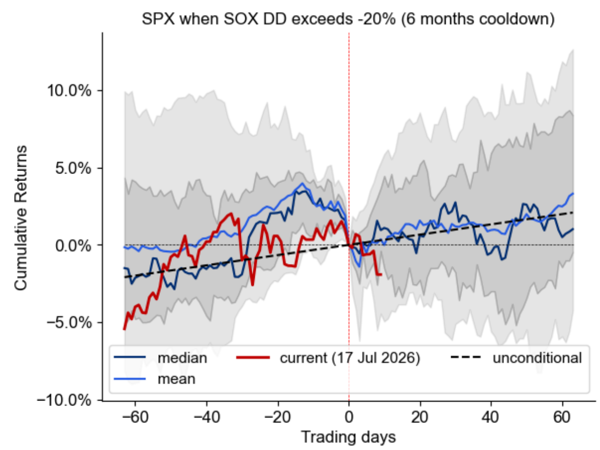
Can SPX rally during a SOX bear market? Yes. In Figure 16 we show that even after 20%+ 1m selloffs in SOX like we have seen recently, SPX can still rally 1m later. We also run an event study of SPX through the 1st SOX bear market drawdown of the last 6m, which shows that average performance is no different to unconditional (Figure 17). Finally in Figure 18, we compare SOX drawdowns with SPX drawdowns as a scatter and also a regime-specific backtest. To guarantee an SPX drawdown you need a 40% SOX drawdown, and for negative active information ratios you need a 30%+ drawdown in SOX. With semis bouncing after a decent US earnings season, neither of these conditions have been met.

Figure 16. SPX can rally t+1m after a SOX 1m bear market



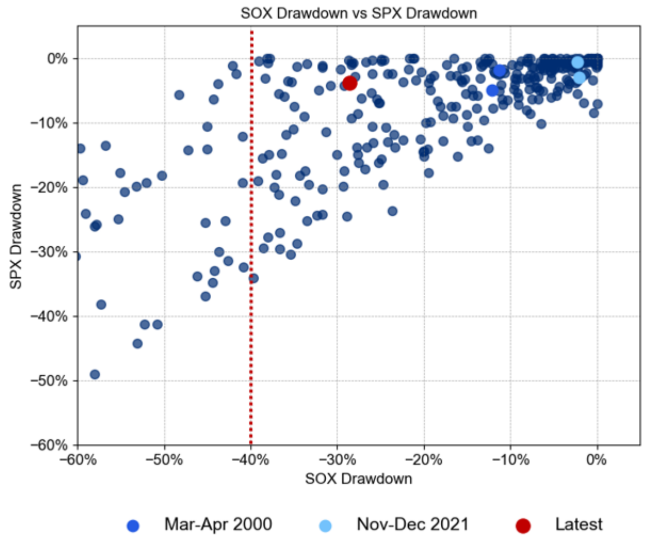
Source: Citi Research

Figure 17. 1st SOX bear market in 6m =/= SPX follows



Source: Citi Research

Figure 18. 40%+ drawdown in SOX to guarantee one in SPX

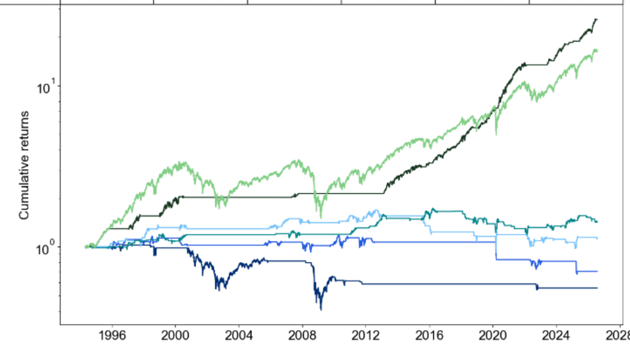


Source: Citi Research

Figure 19. 30%+ drawdown in SOX is negative IR for SPX

SPX Contemporaneous Performance by SOX Drawdown Regimes

	Below -40%	-30% to -40%	-20% to -30%	-10% to -20%	0% to -10%	Unconditional
Return	-1.16%	-0.82%	0.62%	1.31%	10.38%	10.38%
Volatility	11.58%	7.33%	7.43%	6.52%	7.77%	18.61%
Risk/Reward	-0.1	-0.11	0.084	0.2	1.3	0.56
max DD	-60.73%	-42.64%	-45.32%	-31.95%	-9.25%	-56.78%
Active IR	-0.22	-0.34	0.23	0.53	2.2	0.57
% on	20.84%	11.13%	13.03%	14.65%	36.05%	96.41%



Source: Citi Research

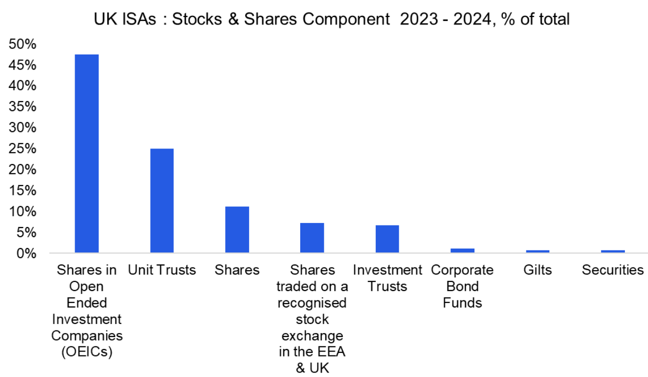
All Things Japan: BoJ, Intervention, Politics

July BoJ: hawkish presser, but vote-split less so. After a June hike, the BoJ held its key policy rate in July with Board member Hajime Takata dissenting for a 25bp hike. Comments from Governor Ueda in the presser were on the more hawkish side. The Governor highlighted that "there is a risk underlying inflation deviates above our 2% target, as medium and long term inflation expectations continue to rise, and firms become more active toward raising prices and wages" (Reuters, Jun 30th). As we have been positioned for via our JPY 1y OIS payer, expectations of an earlier hike have now increased, and Sep BoJ is priced at around 10bp. We keep our 1y payer given the positive momentum in front-end yields. That said, the fact that Board member Tamura did not call for a hike, makes us less confident on September being live. This possibly suggests taking profit once the enthusiasm on a faster BoJ normalization pace cools down ahead of September.

JPY rally on potential FX intervention, what next? USDJPY sold off more than 4bf (currently sitting at roughly 159/158), on what is suspected to be FX intervention (Reuters, Jun 30th). Medium-term, a lot will depend on the broader policy mix. A structural appreciation will likely require tighter monetary policy from the BoJ, as well as fiscal from the government. But as said above, the BoJ is unlikely to remain hawkish after its most hawkish Board members leave in one year's time. Similarly on the fiscal front, PM Takaichi seems keen to continue to pursue an expansionary fiscal policy, as shown this week by her intention to proceed with the food sales tax cut (Reuters, Jul 29th). With respect to the suggested policy changes to the GPIF allocation and NISA, we wrote about it in details here Macro mezze for the summer BBQ: 4 key themes (16-Jul-2026). The UK's ISA accounts, the blueprint for NISA, tells us that even if JGBs are included in this accounts the allocation to fixed income may remain small. In the UK ISA's Gilts represent roughly 1% of investments (Figure 20). With respect to GPIF, we don't think we will see a 2014 style change in GPIF allocation, given that it would make achieving the target performance of 1.9% real investment return harder (GPIF). What could be more achievable, especially in the short term, is perhaps increasing domestic bond holdings by the allowed 'margin' of about ~6%. That would constitute roughly an increase in JGBs holdings by ~JPY 18tn, or roughly 1.5x the size of the April/May FX intervention. Again, as mentioned, while sizeable, we think for a structural JPY appreciation fiscal and monetary policy likely need to swim with the tightening tide. Right now, this is not the case yet.

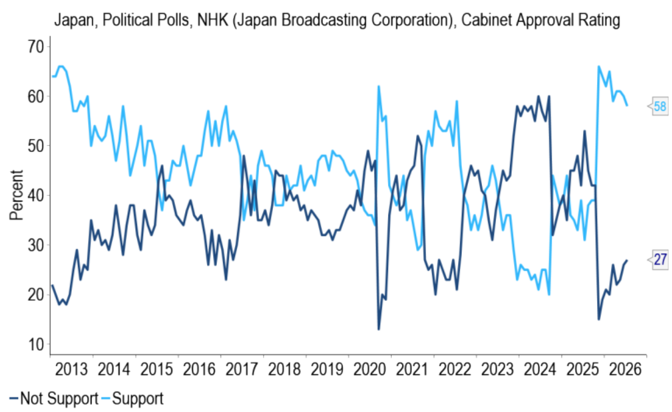
Cabinet approval ratings falling. We think risks are overblown. While most approval ratings do show a decrease in the last few months, many show the PM and the current cabinet is still highly supported e.g. Asahi (Jul 21st) and NHK below. The real risk in our view is that falling ratings keep the fiscal agenda on the more expansionary side, and reignite the reflation trend (higher term premium, equities and USDJPY) which has been unwinding since the GPIF and NISA headlines.

Figure 20. In UK ISAs, little is allocated to Gilts, roughly 1%



Source: Citi Research

Figure 21. NHK polling shows still historically high polling for the current Cabinet



Source: Citi Research, Macrobond

Boring BoE – bias to receive

Hawkish split but dovish assessment. "Hoping to hold" is the way our European Rates Strategy colleagues described the guidance, assessment and latest scenarios from the BoE, and we agree. With no signaling for hikes, if anything strong suggestion against this from Bailey, they like fading hike pricing one meeting at a time and are received Sep MPC. We have a preference for Gilt curve steepeners closer to when fiscal risk may emerge, but for now policy details are too light with the Autumn Budget still far away.

Section 301 Tariffs: EU + Taiwan relative winners, EM Asia, Brazil + Canada worse off

Similar tariff rates, but longer lasting. The new Section 301, replacing the Section 122, is unlikely to change overall tariff rates by much but should benefit EU and Taiwan while raising rates for China and other EM Asia countries. The new structure applies 10% to seventeen economies credited with a forced-labor ban or a reciprocal-agreement commitment, including the UK, India, Mexico, Canada, and Malaysia, and 12.5% to the remaining 38, including China, Vietnam, and Brazil, with the China duty stacking on the existing List 1-4A tariffs. Unlike its predecessors, Section 301 carries no rate cap and no expiration date, making this policy much more lasting.

EU and Taiwan relative winners, EM Asia, Brazil and Canada worse off. Five developed partners, the EU and Taiwan at 10% and Japan, Korea, and Switzerland at 12.5%, receive net-of-MFN treatment. Section 122 tariffs had been on top of the MFN rate. The restored ceilings of 10% to 12.5% also sit below the 15% agreed last summer. Deal countries have retained, and in some cases improved, their terms through the change. Based on the force labor cohorts and MFN agreements, we estimated the effects of the new policy on major trading partners in Figure 22. The EU and Taiwan come out ahead, as the net-of-MFN treatment delivers a reduction (capped at 10%), and EU autos remain covered by the 15% all-inclusive deal rate. The flat 12.5% cohort, including China, Vietnam, Thailand, and Australia, faces the same 2.5pp increase although they were the main beneficiaries from the IEEPA ruling. Brazil is the most affected following the separate 25% Section 301 action that took effect July 22.

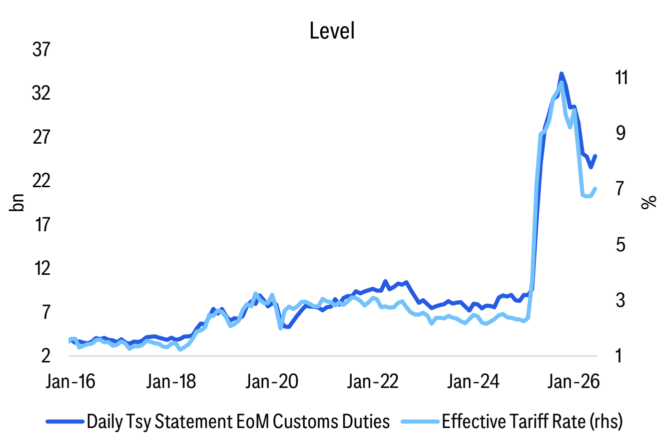
Figure 22. Expected effective tariff rate impact from Section 301 (forced labor)

Expected changes to effective tariff rates					
Likely Increase		Likely Flat		Likely Decrease	
China	Increase from 10% to 12.5% and stacks on top	Malaysia	Flat 10%	EU	10% net of MFN vs on top of MFN
Vietnam	Increase from 10% to 12.5% and export mix is less Section 232 heavy	India	Flat 10%	Taiwan	10% net of MFN vs on top of MFN
Thailand	Increase from 10% to 12.5%	UK	Flat 10%		
Australia	Increase from 10% to 12.5%	Indonesia	Flat 10%		
South Korea	Increase from 10% to 12.5%, KORUS makes MFN close to 0 so 2.5% increase	Mexico	Flat 10%, USMCA		
Brazil	Increase from 10% to 12.5%, Separate Section 301 at 25%	Canada	Flat 10%, Pending Section 338 Actions, USMCA		
		Japan	Increase to 12.5% but net of MFN so relatively similar		
		Switzerland	Flat 10% but lots of exemptions		

Source: Citi Research

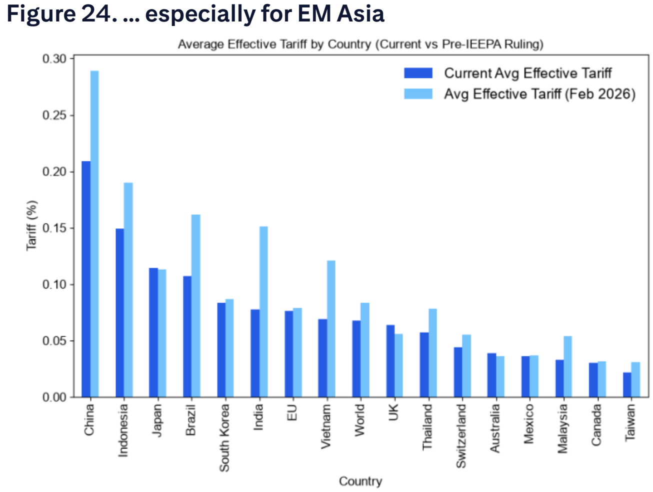
Still lots of exemptions. Exemptions remain extensive, covering Section 232 goods, USMCA-qualifying imports, and an expanded product annex, leaving roughly half of covered-country imports outside the duty. This is why the realized rate sits below the headline numbers. With substitution and trade rerouting, realized rates have consistently been below expectations. The realized effective US tariff rate has declined to sub 7% from 10.8% prior to the Supreme Court's February ruling striking down the IEEPA tariffs.

Figure 23. Tariff rates are lower since the start of the year



Source: Citi Research

Figure 24. ... especially for EM Asia



Source: Citi Research

This is likely the local low in effective tariff rates, barring successful legal challenges. The policy pipeline points higher. We discuss ongoing Section 301 investigations in Figure 25. The forced labor determinations set the floor for the tariff announcements later in the year. The pending excess-capacity investigation covering 16 economies and core industrial sectors, including autos, steel, batteries, and semiconductors, is the designated vehicle for restoring higher rates, particularly on China, and any remedies would stack on the forced-labor duties. USTR has also suggested further actions on pharmaceutical pricing, digital services taxes, and agricultural practices, alongside the Vietnam IP investigation opened in May. Litigation (against the forced labor Section 301) appears unlikely to reverse the trajectory. The balance of risks for the effective rate is to the upside.

Figure 25. Ongoing Section 301 Investigations

Date Initiated	Country / Region	Investigation Title & Reason	Curent Status
18-Jun-26	Germany	Persistent Underpayment for Innovative Pharmaceutical Products – German pricing policies suppress pharmaceutical prices below fair market value.	Public comment period open, hearing on Sep 22, Determination expected late 2026 / early 2027
29-May-26	Vietnam	Acts, Policies & Practices Related to Intellectual Property Protection and Enforcement – Vietnam's persistent failure to resolve long-standing IP concerns including widespread online piracy, counterfeiting, weak criminal enforcement, inconsistent border enforcement, unlicensed software use, and cable/satellite signal theft.	Comments closed, hearing status pending, Determination expected within 6-9 months of initiation (Nov 2026 - Feb 2027)
12-Mar-26	60 economies (major partners)	Failure to Impose and Effectively Enforce a Prohibition on the Importation of Goods Produced with Forced Labor – Trading partners covering 99%+ of U.S. imports fail to adequately ban goods made with forced labor.	10%/12.5% tariffs in effect as of July 24, 2026
11-Mar-26	16 countries	Structural Excess Capacity and Production in Manufacturing Sectors – Examines whether manufacturing overcapacity (steel, aluminum, semiconductors, EVs, solar, batteries, critical minerals) by 16 economies unreasonably burdens U.S. commerce.	Ongoing, reportedly near completion
24-Oct-25	China	China's Implementation of Commitments Under the Phase One Agreement – China fell significantly short of its 2020 Phase One trade deal purchase pledges for U.S. goods and services, fulfilling only ~60% of goods commitments and ~57% of overall purchase targets ($217B+ shortfall). Also covers IP, tech transfer, agriculture, financial services, and currency obligations.	Ongoing
15-Jul-25	Brazil	Acts, Policies & Practices Related to Digital Trade & Electronic Payment Services; Unfair Preferential Tariffs; Anti-Corruption Enforcement; IP Protection; Ethanol Market Access; and Illegal Deforestation – Covers a broad range of Brazilian practices	25% tariffs in effect as of Jul 22, 2026

Source: Citi Research

Tariffs likely to come back after midterms. Given the political environment around the cost of living and President Trump's commitment to tariffs, we expect more tariffs to be announced after midterms. This defers the more inflationary measures until after the midterms.

USMCA in the background as well, front end in Canada looks cheap. The joint review is due in July 2027, and the USMCA exemption is now the largest single gap in the tariff structure, so any tightening of qualification rules would mechanically raise the effective rate without new tariff actions. Annual reviews of USMCA are bearish for the Canadian and Mexican economies, likely more so for Canada given the friction between the administrations so far. Uncertainty on trade has hurt corporate confidence and slowed capital investment. Governor Macklem has highlighted the economy's excess supply and long term drag from trade uncertainty for some time now. President Trump has also invoked Section 338 to levy a 50% tariff on a relatively small sect of Canadian goods (motor vehicles, alcoholic beverages, and dairy) starting on August 19th. This bypasses USMCA but there is still time for an agreement to be reached before then. We think receiving the front end of Canada looks attractive on this basis and on the positive inflation dynamics (below target core inflation). We have switched our USD funding leg for CAD in our EM carry basket (discussed above).

Figure 26. Trade Summary

GMS PF Notional P&L	$	%
YTD (all trades)	1,434,910	1.43%
Trailing 12m	5,630,603	5.6%
Full sample (from start of 2023)	24,263,349	24.3%

Trades (since inception)	Open	Closed	Total
Total	15	213	228
In profit	11	104	115
In loss	4	109	113
Profitable trades	73%	49%	50%

2026 Trade Summary as of July 31, 2026; 11:31 UKT Time	Open Date	Close Date	DV01($)	Notional ($)	Open	Current/ Close	Target on spot	Watch Level	Trade P&L	$ Trade P&L (Since inception)	$ Trade P&L (YTD)	P&L as % of PF (Since inception)	P&L as % of PF (YTD)
Open Trades													
Buy 1y (Dec-26) 32,000 NDX digital call	15-Dec-2025	Open		1,683,502	0.15	0.34	100.00	0.00	19.34%	83,542	178,855	0.08%	0.18%
Buy 6m (13-Aug-2026) EURGBP 0.90 digi call w/ 1m (30-May-2026) 0.8550/0.8875 WKO	13-Feb-2026	Open		6,326,400	4.5%	4.5%	100.00	0.00	0.01%	28,739	28,739	0.03%	0.03%
6m (11Sep26) USD denom Dual Digi NKY > 61000, USDJPY < 157	04-Mar-2026	Open		628,931	15.9%	12.0%	0.00	0.00	-3.9%	-24,528	-24,528	-0.02%	-0.02%
Buy 17-Aug-2026 expiry SPX > 106.25% (7833.29), CLU6 > 110% (91.19) dual digital	07-May-2026	Open		2,000,000	7.5%	1.0%	100.0%	0.0%	-6.5%	-130,000	-130,000	-0.13%	-0.13%
Buy 05-Aug-2026 expiry LME copper 15,250 digi call	11-May-2026	Open		2,000,000	20.0%	0.0%	100.0%	0.0%	-19.99%	-399,827	-399,827	-0.40%	-0.40%
Buy TES 2031s, FX hedged vs 2y IBR payer	01-Jun-2026	Open	5,000		138.00	103.49	88.00	163.00	34.5 bp	335,386	335,386	0.34%	0.34%
Pay 1y JPY OIS	09-Jul-2026	Open	40,000		121.50	125.88	150.00	110.00	4.4 bp	300,030	300,030	0.30%	0.30%
EMFX Carry - BRL, MXN, COP, TRY vs CAD, CHF	14-Jul-2026	Open		50,000,000	100.00	101.24	105.00	98.00	1.24%	309,825	309,825	0.31%	0.31%
Long EURUSD	28-Jul-2026	Open		25,000,000	1.14	1.15	1.18	1.13	1.04%	252,601	252,601	0.25%	0.25%
Buy 2m EURUSD (28-Sep-26) 1.1750 one touch	28-Jul-2026	Open		862,069	0.17	0.37	100.00	0.00	19.42%	167,453	167,453	0.17%	0.17%
									Total P&L	**923,222**	**1,018,534**	**0.92%**	**1.02%**
Closed Trades in 2026													
Receive CORRA Z6 (previously paid against IR Z6)	14-May-2026	14-Jul-26	10,000		208.00	211.00	260.00	178.00	-3 bp	-113,000	-113,000	-0.11%	-0.11%
Receive SFI Z6 (previously paid against ER Z6)	14-May-2026	14-Jul-26	10,000		-158.00	-137.50	-100.00	-188.00	20.5 bp	73,000	73,000	0.07%	0.07%
Long HGB 2031s (FX hedged as of 14-May-2026, removed FX hedge as of 11-Jun-2026)	09-Apr-2026	09-Jul-26	4,000		6.66	5.38	6.10	7.00	127.9 bp	1,185,025	1,185,025	1.19%	1.19%
Long VG1	12-Jun-2026	09-Jul-26		11,594,357	6160.00	6273.00	6600.00	5900.00	1.82%	62,000	62,000	0.06%	0.06%
Buy USDNOK spot	17-Jun-2026	02-Jul-26		26,200,000	9.61	9.85	10.10	9.45	2.4%	633,871	633,871	0.63%	0.63%
Long KOSPI2	08-Apr-2026	02-Jul-26		2,000,000	896.50	1273.75	1100.00	790.00	35.12%	1,254,409	1,254,409	1.25%	1.25%
Sell USDJPY spot	21-May-2026	29-Jun-26		57,071,064	159.10	161.94	156.00	160.50	-1.77%	-1,192,367	-1,192,367	-1.19%	-1.19%
Buy Aug-26 (25-Jun-2026 expiry) 120 Brent digi call	30-Apr-2026	25-Jun-26		2,500,000	20%	0%	100%	0%	-20%	-500,000	-500,000	-0.50%	-0.50%
Dec26/Dec27 FedFunds OIS Steepener	05-Jun-2026	17-Jun-26	50,000		10.50	-0.90	40.00	-5.00	-11.4 bp	-942,000	-942,000	-0.94%	-0.94%
3m (12Jun26) USD denom Dual Digi NKY > 61000, USDJPY < 157	04-Mar-2026	12-Jun-26		787,402	12.7%	0.0%	0.00	0.00	-12.7%	-100,000	-100,000	-0.10%	-0.10%
AUDUSD 3m (10-Jun-2026) .75 digi call	10-Mar-2026	10-Jun-26		1,000,000	0.1600	0.0000	100.0000	0.0000	-16%	-160,000	-160,000	-0.16%	-0.16%
Long gold spot	08-Apr-2026	06-Jun-26		3,018,011	4780.00	4014.08	5600.00	4400.00	-17.46%	-320,093	-320,093	-0.32%	-0.32%
USD OIS 2s10s steepener	15-May-2026	06-Jun-26	45,000		24.00	10.78	45.00	13.00	-13.2 bp	-582,482	-582,482	-0.58%	-0.58%
Long KOSPI2 Partial TP	08-Apr-2026	05-Jun-26		1,976,826	896.50	1305.00	1100.00	790.00	37.55%	1,321,558	1,321,558	1.32%	1.32%
Long BRL, CLP vs COP	14-May-2026	29-May-26		6,000,000	100	98.01	110.0	95.0	-1.99%	-119,000	-119,000	-0.12%	-0.12%
Short USDSEK spot	08-Apr-2026	14-May-26		12,777,686	9.2316	9.6669	8.7500	9.6000	-4.61%	-509,928	-509,928	-0.51%	-0.51%
2s30s Gilts steepener	09-Apr-2026	30-Apr-26	22,000		122.6000	124.0000	160.0000	100.0000	1.4 bp	123,719	123,719	0.12%	0.12%
Short USDJPY spot	01-Apr-2026	30-Apr-26		22,001,800	158.3600	156.6900	153.0000	162.0000	1.06%	174,237	174,237	0.17%	0.17%
Receive 2y CAD (previously vs pay 2y Camara)	06-Apr-2026	29-Apr-26	30,000		2.7150	2.9181	275.0000	195.0000	-20.3 bp	-923,000	-923,000	-0.92%	-0.92%
Receive Jan 29 DI offshore IRS	17-Apr-2026	29-Apr-26	8,000		13.0880	13.7725	12.7500	13.3500	-68.5 bp	-540,000	-540,000	-0.54%	-0.54%
Long HGB 2031s	09-Apr-2026	17-Apr-26	4,000		6.6600	5.9030	6.1000	7.0000	75.7 bp	820,581	820,581	0.82%	0.82%
3m (17-Apr-2026) SPX < 100% (6840), EURUSD > 102% (1.1949)	20-Jan-2026	17-Apr-26		2,512,563	0.0995	0.0000	0.0000	0.0000	-9.95%	-250,000	-250,000	-0.25%	-0.25%
3m (17-Apr-2026) SPX < 98% (6703), EURUSD > 103% (1.2066)	20-Jan-2026	17-Apr-26		2,551,020	0.0490	0.0000	0.0000	0.0000	-4.9%	-125,000	-125,000	-0.13%	-0.13%
3m (14-Apr-2026) Gold > 110% (5084.20), USD 30y SOFR > ATMF+10bp (4.161%)	14-Jan-2026	14-Apr-26		819,672	0.0610	0.0000	0.0000	0.0000	-6.1%	-50,000	-50,000	-0.05%	-0.05%
Receive Z6 SARON vs. EURIBOR	19-Mar-2026	08-Apr-26	20,000/15,000		245.0000	248.0000	300.0000	220.0000	3 bp	96,209	96,209	0.10%	0.10%
EURUSD 2m (31-Mar-2026) 1.23 digital call KO 1.27	29-Jan-2026	31-Mar-26		1,604,278	9.4%	0.0%	100.00	0.00	-9.35%	-147,245	-147,245	-0.15%	-0.15%
Long TPM6 (partially unwound)	09-Jan-2026	27-Mar-26		7,250,000	3606.00	3550.00	4000.00	3400.00	-0.91%	-65,617	-65,617	-0.07%	-0.07%
Buy 3m (07-May-2026) Gold 5400/5800 call spread KI 6200 (KI on high strike only)	05-Feb-2026	19-Mar-26		19,380,000	60.0000	14.0000	0.0000		-0.95%	-184,000	-184,000	-0.18%	-0.18%
Receive SFRZ7 at 3.21% in 13k DV01	05-Feb-2026	12-Mar-26	13,000		96.7900	96.6050	97.2500	96.6000	-18.5 bp	-240,500	-240,500	-0.24%	-0.24%
Buy EURUSD spot	20-Jan-2026	03-Mar-26		34,624,398	1.1718	1.1603	1.2125	1.1550	-0.98%	-408,000	-408,000	-0.41%	-0.41%
2y HUF receiver (previously 2s10s steepener, 2:1 DV01 weight)	17-Dec-2025	03-Mar-26	20,000		5.73	6.10	5.00	5.98	0.4 bp	-694,000	-694,000	-0.69%	-0.69%
Receive Jan 28 offshore IRS	29-Jan-2026	20-Feb-26	9,000		12.66	12.59	11.50	13.10	-6.6 bp	-119,029	-119,029	-0.12%	-0.12%
Pay 6m fwd 5y JPY	29-Jan-2026	24-Feb-26	30,000		173.00	160.45	210.00	160.00	-12.6 bp	-376,500	-376,500	-0.38%	-0.38%
6m fwd 5s30s JPY flattener (1:1 DV01 weight, 3:1 until 13-Feb-2026)	29-Jan-2026	24-Feb-26	30,000		132.00	119.75	90.00	130.00	12.2 bp	2,000	2,000	0.00%	0.00%
Long TPH6	09-Jan-2026	29-Jan-26		14,500,000	3606.00	3540.00	4000.00	3400.00	-0.47%	-67,940	-67,940	-0.07%	-0.07%
3m (14-Apr-2026) Gold > 109% (5037.98), USD 30y SOFR > ATMF (4.151%)	14-Jan-2026	29-Jan-26		1,058,201	0.09	0.31	0.00	0.00	21.7%	229,630	229,630	0.23%	0.23%
Trades Carried over from 2025													
Buy ES1 and buy CDX IG S45 5y	15-Dec-2025	05-Jun-26		10,052,732	6863 / 50.774	eld Not Applicable / 5	7768.11 / 63	6530 / 44.7491	11.41%	1,146,663	1,210,728	1.15%	1.21%
Receive CORRA Z6 vs Pay IR Z6	15-Dec-2025	24-Mar-26	25,000		155.00	192.50	200.00	133.00	37.5 bp	1,000,076	786,472	1.00%	0.79%
Feb-Mar ECB OIS flattener (EUR DV01)	09-Oct-2025	19-Mar-26	87,000		-5.00	1.32	-25.00	0.00	-6.3 bp	-637,193	-285,882	-0.64%	-0.29%
Buy 18-Mar-2026 CDX IG S45 5y payer hedge (70/90 payer spread, funded with 50/45 receiver spread)	16-Oct-2025	18-Mar-26		400,000,000	1.28	0.00	90.00	0.00	-1.28	-50,000	-189,453	-0.05%	-0.19%
Vol-weighted carry basket with a copper twist: Long BRL, MXN, TRY, ZAR and CLP vs CAD, and SGD	02-Oct-2025	12-Mar-26		25,000,000	100.00	101.84	104.00	98.00	1.84%	640,976	336,468	0.64%	0.34%
Buy Mar-26 expiry LME copper 12,000 digital call	02-Oct-2025	03-Mar-26		1,893,939	13.20	100.00	100.00	0.00	86.8%	1,643,939	752,051	1.64%	0.75%
Buy 30y Gilts vs OATs	15-Dec-2025	03-Mar-26	25,000		82.00	93.78	42.00	102.00	-11.8 bp	-46,000	-266,671	-0.05%	-0.27%
Vol-weighted carry basket with a tariff twist: Long BRL and MXN vs EUR and USD	01-May-2025	03-Mar-26		13,000,000	100.00	106.89	104.00	98.18	6.89%	1,590,000	506,367	1.59%	0.51%
Receive Jan 29 DI offshore IRS	08-May-2025	03-Mar-26	9,000	-	13.30	13.15	12.00	14.00	14.8 bp	-240,000	62,622	-0.24%	0.06%
2s10s HUF steepener, 2:1 DV01 weight	17-Dec-2025	26-Feb-26	20,000		44.00	30.08	100.00	30.00	13.9 bp	150,666	150,666	0.15%	0.15%
20Feb26, Dual Digi NDX > 25240 , US 5s30s > 87.1bps	06-Aug-2025	20-Feb-26		931,373	10.20	0.00	0.00	0.00	-10.2%	-100,000	-52,941	-0.10%	-0.05%
Buy MSCI All Argentina 25-50 USD Index	27-Oct-2025	13-Feb-26		5,092,587	4710.51	4957.07	5870.00	4270.00	5.1%	260,212	5,034	0.26%	0.01%
Buy 3m (13-Mar-26) USDJPY > 160, USDBRL < 5.30 dual digital	15-Dec-2025	05-Feb-26		4,545,455	5.5%	15.6%	100.00	0.00	10.07%	261,050	318,205	0.26%	0.32%
HUF 2s10s steepener (equal DV01)	17-Dec-2025	29-Jan-26	20,000		54.00	45.04	100.00	30.00	-9 bp	-151,969	-240,531	-0.15%	-0.24%
Pay 12x15 NOK FRA vs receive 12x15 SEK FRA	15-Dec-2025	29-Jan-26	15,000		164.50	249.63	225.00	129.00	85.1 bp	580,073	453,364	0.58%	0.45%
Buy Mar-26 EUA emissions future (MOH26)	15-Dec-2025	20-Jan-26		10,870,131	84.75	84.50	95.00	80.94	-1.8%	-196,000	-322,643	-0.20%	-0.32%
Buy 6m (12-Jan-2026) EURUSD 1.21 digi call with 2m (10-Sep-2025) 1.21 WKO	10-Jul-2025	12-Jan-26		1,592,357	15.70	0.00	1.22	1.15	-15.7%	-250,000	-55,755	-0.25%	-0.06%
3m (09-Jan-2026) USDTRY 43.80 digital put	09-Oct-2025	09-Jan-26		1,020,408	0.49	1.00	100.00	0.00	51%	520,408	1,739	0.52%	0.00%
									Total P&L	**3,369,438**	**416,376**	**3.37%**	**0.42%**

NDX call owned by **Vinh Vo**; SPX owned by **Adam Pickett;** NKY owned by **Giammarco Miani**

Note: Futures trading involves substantial risk of loss.

Source: Citi Research

- P&L on trades includes carry and roll costs but not trading commissions/costs.
- It should not be assumed that recommendations made in the future will be profitable or will equal the performance of the securities in this list.
- Closed trade recommendation details available on request.
- Table shows opening levels and current mark where appropriate. Third column is % gain or loss on the trade. Summary statistics show % of trades in profit.

Reasonable Basis and Risks

Please see Figure 27 for hyperlinks to previous publications discussing the rationale and risks around each of the outstanding trade recommendations shown above in Figure 26.

Figure 27. Reasonable Basis and Risks

Trade	Basis & Risks Discussion
Buy 1y (Dec-26) 32,000 NDX call (15-Dec-2025)	Please see here
Buy 6m (13-Aug-2026) EURGBP 0.90 digi call w/ 1m (30-May-2026) 0.8550/0.8875 WKO (13-Feb-2026, rolled 30-Apr-2026)	Please see here, and here
Buy 6m(11-Sep-2026) USD denom Dual Digi NKY > 61000, USDJPY < 157 at 15.9% (04-Mar-2026)	Please see here
Buy 17-Aug-2026 expiry SPX > 106.25% (7833.29), CLU6 > 110% (91.19) dual digital (07-May-2026)	Please see here
Buy 05-Aug-2026 expiry LME copper 15,250 digi call (11-May-2026)	Please see here
Buy TES 2031s vs pay 2y IBR (01-Jun-2026)	Please see here
Pay 1y OIS JPY (09-Jul-2026)	Please see here
EMFX carry BRL, MXN, COP, TRY vs. CHF / CAD (14-Jul-2026)	Please see here
Buy EURUSD at 1.1387 (28-Jul-2026)	Please see here
Buy EURUSD 2m (28-Sep-26) 1.1750 one touch (28-Jul-2026)	Please see here

NDX call and LME trades owned by **Vinh Vo**; SPX owned by **Adam Pickett;** NKY owned by **Giammarco Miani**
Note: Futures trading involves substantial risk of loss
Source: Citi Research

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Please contact us for further details on the options recommendations that appear in this note.

Figure 28. Representative Market Conditions

	Opening	Marked to Market/ Current Level as of 31 July 2026, 11:20
NDX	25390	28128
EURGBP	0.8715	0.8549
NKY	56368	64931
USDJPY	157.00	158.98
Aug-26 Copper (LME)	13880.0	13853.5
TES 2031s	13.25	12.36
2y IBR	11.87	11.33
USDBRL	5.07	5.06
USDMXN	17.44	17.43
USDCOP	3250.970	3111.85
USDTRY	47.03	47.36
JPY 1y OIS	1.22	1.31
USDCAD	1.41	1.41
EURUSD	1.13	1.15
EURCHF	0.93	0.93

Source: Citi Research

12-Month Trade Recommendation History

Please refer to Figure 29 for a full 12-month trade recommendation change history.

Figure 29. 12-Month Trade Recommendation History

Closed Trades	Recommendation Date	Closed Date	%
Receive CORRA Z6 (previously paid against IR Z6)	14/05/2026	14/07/2026	-0.11
Receive SFI Z6 (previously paid against ER Z6)	14/05/2026	14/07/2026	0.07
Long HGB 2031s (FX hedged as of 14-May-2026, removed FX hedge as of 11-Jun-2026)	09/04/2026	09/07/2026	1.19
Long VG1	12/06/2026	09/07/2026	0.06
Long KMZ6	08/04/2026	03/07/2026	1.30
Long USDNOK spot	17/06/2026	03/07/2026	0.63
Short USDJPY spot	21/05/2026	29/06/2026	-0.01
Long Aug-26 Brent 120 digi call	30/04/2026	26/06/2026	-0.50
Long gold spot	08/04/2026	06/06/2026	-0.32
USD OIS 2s10s steepener	15/05/2026	06/06/2026	-0.58
Buy ES1 and buy CDX IG S45 5y	15/12/2025	05/06/2026	1.15
Long KOSPI2 Partial TP	08/04/2026	05/06/2026	1.31
Long BRL, CLP vs. COP	14/05/2026	29/05/2026	-0.12
Short USDSEK	08/04/2026	14/05/2026	-0.51
2s30s gilts steepener	09/04/2026	30/04/2026	0.12
Short USDJPY spot	01/04/2026	30/04/2026	0.17
Receive 2y CAD	06/04/2026	29/04/2029	-0.92
Receive Jan29 offshore DI	17/04/2026	29/04/2026	-0.54
Long HGB 2031s	09/04/2026	17/04/2026	0.82
3m (17-Apr-2026) SPX < 100% (6840), EURUSD > 102% (1.1949)	20/01/2026	17/04/2026	-0.25
3m (17-Apr-2026) SPX < 98% (6703), EURUSD > 103% (1.2066)	20/01/2026	17/04/2026	-0.13
3m (14-Apr-2026) Gold > 110% (5084.20), USD 30y SOFR > ATMF+10bp (4.161%)	14/01/2026	14/04/2026	-0.05
Long SSYZ6 vs ERZ6	19/03/2026	08/04/2026	0.10
EURUSD 2m (31-Mar-2026) 1.23 digital call KO 1.27	29/01/2026	31/03/2026	-0.15
Long TPM6 (partially unwound)	09/01/2026	27/03/2026	-0.07
Pay IRZ6 vs. Receive CORRA Z6	15/12/2025	24/03/2026	1.00
CDX IG payer spread vs. receiver spread	16/10/2026	18/03/2026	-0.05
Gold 5400/5800 call spread EKI 6200	05/02/2026	19/03/2026	-0.18
Feb-Mar ECB OIS flattener	09/10/2025	19/03/2026	-0.64
Long BRL, MXN, ZAR, TRY, CLP vs. CAD, SGD	02/10/2025	12/03/2026	0.64
Receive SOFR Z7	05/02/2026	12/03/2026	-0.24
Buy Mar-26 expiry LME copper 12000 digi call	02/10/2025	03/03/2026	1.64
Buy 30y Gilts vs OATS	15/12/2025	03/03/2026	-0.05
Vol weighted barry basket with tariff twist: BRL, MXN vs EUR, USD	01/05/2025	03/03/2026	1.59
Receive Jan29s offshore IRS	08/05/2025	03/03/2026	-0.24
Buy EURUSD spot	20/01/2026	03/03/2026	-0.41
2y HUF reciever (previously 2s10s steepener)	27/02/2026	03/03/2026	-0.69
Receive Jan28s offshore IRS	29/01/2026	03/03/2026	-0.12
HUF 2s10s steepener	29/01/2026	27/02/2026	-0.17
6m fwd 5s30s JPY flattener	29/01/2026	24/02/2026	0.00
6m fwd 5y JPY payer	29/01/2026	24/02/2026	-0.38
6m NDX up/5s30s up dual digi	06/08/2025	20/02/2026	-0.10
Long MSCI All Argentina Index	27/10/2025	13/02/2026	0.26
2s10s HUF steepener (DV01 equal weight)	17/12/2026	29/01/2026	-0.19
Gold > 109% (5037.98), USD 30y SOFR > ATMF (4.151%)	14/01/2026	29/01/2026	0.23
Pay 12x15 NOK vs. Receive 12x15 SEK FRA 164.5bp	15/12/2025	29/01/2026	0.58
Long TPH6 (partial unwind)	09/01/2026	29/01/2026	-0.14
3m (09-Jan-2026) USDTRY 43.80 digital put	09/10/2025	09/01/2026	0.52
Buy 6m (12-Jan-2026) EURUSD 1.21 digi call with 2m (10-Sep-2025) 1.21 WKO	10/07/2025	12/01/2026	-0.25
Buy Mar-26 EUA emissions future (MOH26)	15/12/2025	20/01/2026	-0.20
2m (31-Dec-2025) SPX 105%/107.5% (7243.95/7416.43) call spread	31/10/2025	31/12/2025	-0.50
BoJ Dec/Jan steepener	30/10/2025	19/12/2025	-0.48
16-Dec-2025 USD denom CLF6/AUDUSD dual digital	10/07/2025	16/12/2025	-0.25
Receive Dec-25 CAD OIS	08/08/2025	10/12/2025	0.00
Long Dec26 SARON future	03/12/2025	09/12/2025	-0.57
Long HC1 vs. VG1	19/09/2025	03/12/2025	-0.60
GBP 6m fwd 5s30s steepener	11/07/2025	27/11/2025	-0.01
Sell 10y Gilt ASW	13/12/2024	27/11/2025	0.13
Long NQ1 SPW	11/07/2025	20/11/2025	0.35
Long ESZ5	31/10/2025	20/11/2025	-0.80
Receiver 2y INR	06/10/2025	13/11/2025	-0.08
Long USDCHF	04/11/2025	13/11/2025	-0.53
Receive 2y F-TIIE (Partial)	05/02/2025	06/11/2025	0.65
SOFR M6M7 Steepener	02/10/2025	30/10/2025	-0.13
Receive Dec CAD OIS (partial TP)	08/08/2025	27/10/2025	0.33
Buy gold spot (full unwind)	01/09/2025	21/10/2025	1.07
Buy gold spot (partial unwind)	01/09/2025	09/10/2025	0.79
Receive BoJ October meeting OIS	29/07/2025	06/10/2025	0.31
3m (06-Oct-2025) USDTRY 41.85 Digital Put	03/07/2025	06/10/2025	0.59
Pay 1y1y JPY OIS	13/06/2025	06/10/2025	0.45
Long 1m (26-Sep-2025) EURUSD 1.17 call RKO 1.21	27/08/2025	26/09/2025	0.13
Enter 6m fwd 5s30s USD steepener	08/05/2025	23/09/2025	0.28
Receive NOK 2y2y	13/12/2024	18/09/2025	-0.24
Receive 5y ZAR IRS	27/06/2025	18/09/2025	0.83
Buy a 2m 40/42 XAGUSD Call Spread	29/07/2025	16/09/2025	0.79
EURIBOR H6Z7 steepener	10/07/2025	09/09/2025	-0.60
Buy KRS1	14/08/2025	01/09/2025	-0.57
Long FT1	26/06/2025	27/08/2025	0.78
Buy 3m (19-Aug-2025) USDJPY < 142.50, USD30YSOFR > 4.50%	19/05/2025	19/08/2025	-0.10
Pay SNB December meeting OIS	05/06/2025	13/08/2025	0.10
2m (13-Aug-25) Worst of EURUSD < 1.1429, USDJPY < 142.69, USDCHF < 0.8034	13/06/2025	13/08/2025	-0.05
Buy 3m (08-Aug-25) EURCHF < 0.91 EURUSD > 1.1350 Dual Digital	08/05/2025	08/08/2025	-0.10
Buy 3m (08-Aug-25) USDKRW < 1350, USDJPY <140 Dual Digital	08/05/2025	08/08/2025	-0.10

Source: Citi Research

Note that the following trades are intended for OTC transactions only.

Buy 1y (18-Dec-26) 32,000 NDX digital call. Risks to trade include AI bubble bursting, excessively hawkish Fed, US recession risks. Trade idea owned by **Vinh Vo.**

Buy 6m (13-Aug-2026) EURGBP 0.90 digital call with 2m (13-Apr-2026) 0.8550 / 0.8900 window KO for EUR 8%. *Risks to trade include weak Eurozone growth, hawkish BoE, no Labour party leadership change.*

Buy 6m (11Sep26) USD denom Dual Digi NKY > 61000, USDJPY < 157 at 15.9%. *Risk to trade includes prolonged geopolitical risk off, dovish BoJ. Trade idea owned by* ***Giammarco Miani****.*

Buy 17-Aug-2026 USD denom Dual Digi SPX > 106.25% (7833.29), CLU6 > 110% (91.19) @ 7.5% in $2mio notional. *Risking $150k premium/0.15% of GMS PF. Refs SPX cash 7372.50, CLU6 82.90. Pricing as of 14:43 UKT on 07-May-2026. NB futures trading involves risk of substantial loss. Trade idea owned by* ***Adam Pickett****.*

Buy Aug-26 (05-Aug-2026 expiry) LME copper 15,250 digital call at 20% in $2mio notional. *Risking $400k premium/0.4% of GMS PF. Aug-26 ref 13,880 as of 17:45 UKT on 11-May-2026. Risk to trade include market pricing more severe negative growth impact from energy crisis. NB futures trading involves risk of substantial loss. Trade idea owned by* ***Vinh Vo****.*

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Appendix A-1

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